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Cuba into the Twenty-First Century

Raúl's 1996 speech had criticized the "nouveaux riches" of farmers, self-employed workers, and intermediaries, who had benefited disproportionately from the economic openings, as well as those who were receiving money from abroad. "We have to struggle tenaciously to ensure that they strictly abide by the law and pay the progressive tax on their earnings," he proclaimed. He also acknowledged the surge in unemployment, which added to the inexorable growth of economic inequality.[1]

The speech, and the policies that followed it, signaled a response to popular discontent with some of the economic distortions introduced by the Special Period reforms. The rush towards so-called "free" markets would be reined in. Most analysts see the economic openings slowing or even reversing after the mid-1990s.[2] The Special Period continued into the first decade of the twenty-first century, but shifted into what the Cuban government called *estrategia de perfeccionamiento* – fine-tuning, rather than dramatic experimentation.

Fine-tuning meant trying to address some of the new problems created by the economic opening, as well as the problems that the economic opening itself was trying to resolve. The problems were familiar to anybody living in a capitalist world, but exacerbated by Cuba's overall poverty, and by the extent to which the Revolution's legitimacy was based on overcoming these problems: unemployment, consumerism, social and economic inequality. Many of the post-1996 measures were aimed at restricting aspects of economic opening that had opened the door to these social ills. But since these social ills were in a sense inherent in economic opening itself, the resulting policies continued to create contradictions. Stricter regulation and taxation of small